

HUT300 Industrial Economics & Foreign Trade

Question Bank

Module I: Basic Economic Concepts and Demand Analysis

Part A (3 Marks Each)

1. What are the basic economic problems? (Dec 2021)
2. Why does the problem of choice arise in an economy? (Dec 2022)
3. What are the central problems of an economy? (Jan 2024)
4. Describe factors of production. (Jun 2022)
5. Explain Production Possibility Curve. (Dec 2021)
6. Describe about opportunity cost with an example. (Jun 2023)
7. What is the economic significance of opportunity cost? (Jun 2022)
8. What is inelastic demand? (Dec 2022)
9. Define marginal utility. (Jun 2022)
10. State law of demand and discuss on three exceptions to it. (Jan 2024)
11. Point out any three advantages of proprietorship. (May 2024)
12. What is consumer surplus? Draw a diagram to represent consumer surplus. (May 2024)

Part B (14 Marks Each)

1. a) List out the advantages and disadvantages of Joint Stock Company. (7 marks)
b) Define cross elasticity of demand. A tea manufacturing company was able to sell 8000 kg of tea when the price of coffee was Rs. 70 per kg. Later they were able to sell 9000 kg when the price of coffee became Rs. 80 per kg. Calculate the cross elasticity of demand for tea. Are the two commodities substitutes or complements? Give reason. (7 marks) (Dec 2021)
2. a) Define price elasticity of demand. A company producing soft drink is selling its product for Rs. 22. It sells 1000 units, and then increases the price to Rs. 24. Now sales fall to 900 units. What is the price elasticity of soft drink? Is the demand elastic or inelastic? Why? (7 marks)

- b) With the help of diagram explain Deadweight loss. (7 marks) (Dec 2021)
3. a) What is a production possibility curve? With the help of a production possibility curve, explain 1) Under-utilization of resources 2) Full employment of resources. (8 marks)
- b) What are the components of demand and state law of demand? (6 marks) (Jun 2022)
4. a) Explain the law of diminishing marginal utility with diagram? (8 marks)
- b) State the law of supply and explain the determinants of supply. (6 marks) (Jun 2022)
5. a) What is a production possibility curve? With the help of a production possibility curve, explain (i) Trade Off (ii) Why PPC is concave to the origin? (10 marks)
- b) Calculate the marginal utility from the following data:
- | | | | | | | | | |
|----|----|----|----|----|----|----|----|----|
| X | 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 |
| TU | 11 | 19 | 26 | 31 | 34 | 36 | 36 | 30 |
- (4 marks) (Jun 2023, Dec 2023)
6. a) With a diagram explain deadweight loss and how it is related to taxation. Also explain how the imposition of a tax affects consumer and producer surplus. (10 marks)
- b) Suppose the price of coffee rises from Rs. 4.50 per hundred grams to Rs. 5 per hundred grams and as a result the consumer's demand for tea increases from 60 per hundred grams to 70 per hundred grams. Find the cross elasticity of demand of tea and coffee. (4 marks) (Jun 2023, Dec 2023)
7. a) Draw total utility and marginal utility curves and derive the three relations between marginal utility and total utility. (7 marks)
- b) What is cross elasticity of demand? Suppose cross elasticity of demand between X and Y is 0.5. If there is a 50 percent change in the price of Y, what will be the percentage change in the quantity demanded of X? (7 marks) (Dec 2022)
8. a) What is deadweight loss? How does it relate to taxation? Explain how the imposition of a tax affects consumer and producer surplus. (7 marks)
- b) The demand function of a product is given as $D = 60 - 2P$ and the supply function $S = 30 + 4P$. Estimate equilibrium price and equilibrium quantity. Also find the excess supply when Price equals Rs. 6? (7 marks) (Dec 2022)
9. a) Explain with a diagram, the concept of opportunity cost and its linkage with PPC. (7 marks)
- b) What is the law of Diminishing marginal utility? Explain the law with the help of an empirical example. (7 marks) (Jan 2024)
10. a) What are the types of price elasticity of demand? At an initial advertisement expenditure of Rs.50000, the demand for a firm's product is 80,000 units.

- When the advertisement budget is increased to Rs.60000, the sales value increased to 90,000 units. Calculate advertisement elasticity of demand. (7 marks)
- b) Diagrammatically explain deadweight loss of taxation. (7 marks) (Jan 2024)
11. a) What is a production possibility curve? How will you use a PPC to explain, underutilisation, full employment and scarcity of resources. (7 marks)
- b) What is elasticity of demand? Explain at least two of its applications. (7 marks) (May 2024)
12. a) Draw the demand curves when $e_p = 0$, $e_p = 1$, $e_p > 1$ and $e_p < 1$. Suppose the price of a product is Rs 10 and the quantity demanded is 100 units. When price decreases to Rs 8, the quantity demanded increases to 120 units. Calculate the price elasticity of demand. (7 marks)
- b) Explain any four determinants of Demand. (7 marks) (May 2024)

Module II: Production and Cost Analysis

Part A (3 Marks Each)

1. What is margin of safety. What happens when margin of safety is low? (Dec 2021)
2. What do you mean by labour augmenting technical progress? (Dec 2022)
3. Suppose $AC > Price > AVC$. Will a producer produce or shutdown in the short run? Give reason. (Dec 2022)
4. Given below are the production function of firm A, $Q = 2K^{0.25}L^{0.75}$. The firm uses 5 units of labour (L) and 5 units of capital (K). Calculate the output. If we reduce L by 10%, how much K would be increased to produce the same output. (Jun 2023, Dec 2023)
5. What should be the percentage change in price of a product if the sale is to be increased by 50 percentages and its price elasticity of demand is 2? (Jun 2022)
6. Distinguish between explicit and implicit cost. (Jan 2024)
7. What is shut down point? (Jan 2024)
8. Describe production function. (May 2024)
9. State any three properties of an isoquant. (May 2024)

Part B (14 Marks Each)

1. a) Explain Law of variable proportion with a diagram. (7 marks)
- b) Explain Marginal revenue and Average revenue in Perfect competition and imperfect competition with graph. (7 marks) (Dec 2021)
2. a) Define Isoquant curve. Explain the properties of Isoquant curve. (7 marks)

- b) The total sales of a manufacturing firm is Rs 20000 in this year. Its variable costs are Rs 8000 while its fixed costs are Rs 6000 for that year. Find the breakeven point of this firm. (7 marks) (Dec 2021)
3.
 - a) Discuss cost-output relationship in short-run and long-run. (7 marks)
 - b) What are isoquant curves? State their properties. (7 marks) (Jun 2022)
4.
 - a) In a production function, $Q = 2L^{1/2}K^{1/2}$. If $L = 36$, 1) How many units of capital are needed to produce 60 units of output. 2) In the production function, $Q = 2L^{1/2}K^{1/2}$ determine the percentage increase in output if labour is increased by 10% assuming capital is held constant. (7 marks)
 - b) Explain the law of variable Proportions. (7 marks) (Jun 2022)
5.
 - a) (i) Explain break-even analysis with a diagram. (ii) Consider the following data of a company for the year 2022. Sales Rs. 80000, Fixed Cost is Rs. 15000, Variable cost is Rs. 35000. Find the following (a) Breakeven Sales (b) Contribution (c) Margin of safety (d) Profit. (7 marks)
 - b) In a firm if $AVC < P < AC$, will the firm shutdown or continue to produce in short run? Explain in detail with diagram where, P-Price, AVC-Average Variable Cost, AC-Average Cost. (7 marks) (Jun 2023, Dec 2023)
6.
 - a) Diagrammatically explain the law of variable proportions. (7 marks)
 - b) A firm's total cost function is given by the equation, $TC = 4500 + 10Q + 25Q^2$. Write the expression for the following cost concepts. (a) AFC (b) AVC (c) AC (d) MC (7 marks) (Jun 2023)
7.
 - a) What do you mean by returns to scale? Represent it using a figure. (7 marks)
 - b) Suppose a firm pays Rs. 10000 as monthly rent and Rs. 10000 as interest payment. Its monthly expenditure on raw materials is Rs. 40000 and it get monthly sales revenue of Rs.80000. The price of one unit of output is Rs.40. Estimate i) PV Ratio ii) Break even sales iii) Break-even output iv) Profit earned v) Margin of safety (7 marks) (Dec 2022)
8.
 - a) How will you explain producer's equilibrium with the help of an isoquant and isocost line? (7 marks)
 - b) The total cost function of firm is given as $TC = 500 + 5Q - 4Q^2 + Q^3$. Estimate TVC, TFC and MC when output equals 10 units. (7 marks) (Dec 2022)
9.
 - a) State and explain the law of variable proportion. (7 marks)
 - b) What are isoquants? Describe its characteristics. (7 marks) (Jan 2024)
10.
 - a) With the help of a diagram, explain producer's equilibrium and expansion path. (7 marks)
 - b) Explain break even analysis with the help of a diagram. What are its uses? (7 marks) (Jan 2024)
11.
 - a) State the law of variable proportion. Examine its three stages of production with the help of a diagram. (7 marks)

- b) Briefly explain any four types of internal economies from large scale production. (7 marks) (May 2024)
12.
 - a) Draw a break-even chart and explain break-even point. Suppose a firm's fixed cost is Rs 50000 and they sell their product at a price of Rs. 100 per unit. If the average variable cost per unit of output is Rs. 50, estimate break even output. If they sell 1500 units what will be the profit and margin of safety? (7 marks)
 - b) The Cobb-Douglas production function is given as $Q = AK^{0.5}L^{0.5}$, if the amount of capital (K) is 100 units, the amount of labour (L) is 64 units and A is 2, calculate total product and marginal product of capital. (7 marks) (May 2024)

Module III: Market Structures and Pricing

Part A (3 Marks Each)

1. What is collusive oligopoly? (Dec 2021, Jun 2022, May 2024)
2. What is price skimming? (Dec 2021, Jun 2023, May 2024)
3. Why a firm under perfect competition is called a price taker? (Dec 2022)
4. Explain cost-plus pricing. (Jun 2023, Dec 2023)
5. Elucidate the features of a monopolistic competition. (Jun 2023, Dec 2023)
6. What are the features of perfect competition? (Jun 2022)
7. Define market structure. (Jun 2022)
8. Explain how equilibrium price of a commodity is determined. (Jun 2023, Dec 2023)
9. Explain the conditions for profit maximization of a firm. (Jan 2024)
10. Illustrate why the demand curve in perfect competition is perfectly elastic. (Jan 2024)
11. List out any six non-price competition methods followed in oligopoly. (May 2024)

Part B (14 Marks Each)

1.
 - a) Distinguish between monopoly and oligopoly. (7 marks)
 - b) With the help of a diagram, explain equilibrium under monopolistic competition. (7 marks) (Dec 2021)
2.
 - a) Explain kinked demand curve model. (7 marks)
 - b) Which are the different types of Non price competition under Oligopoly. (7 marks) (Dec 2021)
3.
 - a) Compare the market situation of perfect competition with monopoly. (7 marks)

- b) What is collusive oligopoly? (7 marks) (Jun 2022)
- 4. a) What is pricing and what are the different methods used for pricing? (7 marks)
- b) Explain kinked demand curve. (7 marks) (Jun 2022, Jun 2023, Dec 2023)
- 5. a) Compare the market structures: perfect competition, monopoly and oligopoly. (7 marks)
- b) What is price skimming? (7 marks) (Jun 2023, Dec 2023)
- 6. a) Describe on product pricing and explain the different methods used for pricing. (7 marks)
- b) Explain kinked demand curve. (7 marks) (Jun 2023)
- 7. a) Make a comparison between monopoly and monopolistic competition. Draw figures showing the determination of equilibrium under both. (7 marks)
- b) Explain cost plus and going rate pricing. (7 marks) (Dec 2022)
- 8. a) What are the major features of monopolistic competition? Suppose a firm under monopolistic competition is getting supernormal profit. Draw a diagram and explain this situation. (7 marks)
- b) State the features of Oligopoly. Why price is rigid under oligopoly? (7 marks) (Dec 2022)
- 9. a) Explain equilibrium of a firm under monopolistic competition. (7 marks)
- b) Write notes on: i) cost plus pricing ii) target return pricing iii) predatory pricing iv) price skimming. (7 marks) (Jan 2024)
- 10. a) Compare the market situation of monopoly and monopolistic competition. (7 marks)
- b) Diagrammatically explain the situation, 'A firm functioning under perfect competition is facing loss in short run'. (7 marks) (Jan 2024)
- 11. a) What is perfect competition? Examine the situations of loss, normal profit and super normal profit under perfect competition with diagrams. (7 marks)
- b) What is collusive oligopoly? (7 marks) (May 2024)
- 12. a) Point out any four differences between monopoly and monopolistic competition. Also draw and compare the demand curves of firms under these two market situations. (7 marks)
- b) Distinguish between predatory pricing and penetration pricing. (7 marks) (May 2024)

Module IV: National Income and Financial Systems

Part A (3 Marks Each)

1. How is GDP calculated? (Dec 2021)

2. Distinguish between Money market and Capital market. (Dec 2021)
3. Distinguish between final goods and intermediate goods. (Dec 2022)
4. What is a Trading account? (Dec 2022)
5. Differentiate between GDP and GNP. (Jun 2022, Jun 2023, Dec 2023)
6. What is money market & define its functions. (Jun 2022)
7. Write a note on stock indices in India. (Jun 2023)
8. Write a note on the following (i) Stock index (ii) Demat account and Trading (Dec 2023)
9. Describe the fiscal policy measures to control an inflationary situation. (Jan 2024)
10. What are government securities? (Jan 2024)
11. What are stocks and flows in an economy? (May 2024)
12. Distinguish between a bond and share. (May 2024)

Part B (14 Marks Each)

1. a) Explain Circular flow of income in two sector model and four sector model. (7 marks)
- b) From the data given below estimate the NDP, using income method and expenditure method.

Items	(Rs. Crores)
Consumption expenditure	3000
Investment expenditure	2000
Government expenditure	700
Exports	600
Import	300
Intermediate Consumption	2000
Wages and salaries	2000
Rent	500
Interest	500
Profit	1000

(7 marks) (Dec 2021)

2. a) From the data given below estimate Gross National Product, Net National Product and National income.
GDP: 5000 (in 100 billion), NFIA: -50, Indirect tax: 70, Subsidies: 20, Depreciation: 30 (7 marks) (Dec 2021)
3. a) Explain the methods of national income calculation. (7 marks)
- b) What are the difficulties in the measurement of NI? (7 marks) (Jun 2022)
4. a) What is inflation and what are the fiscal policy measures to control inflation? (7 marks)
- b) What is repo rate and how it controls inflation? (7 marks) (Jun 2022)

5. a) Explain in detail the circular flow of income in a four sector model with a neat diagram. (7 marks)
 b) Estimate GDP_{MP} , GNP_{MP} and National Income. Private consumption expenditure = 2000 (in 000 crores), Government consumption = 500, NFIA = -300, Investment = 800, Net exports = 700, Depreciation = 400 and Net-indirect tax = 300. (7 marks) (Jun 2023, Dec 2023)
6. a) Define Inflation and explain cost push and demand pull inflation. Are the monetary or fiscal measures more effective in controlling inflation? (7 marks)
 b) Write notes on i) Bonds and Shares ii) Demat Account (7 marks) (Jun 2023)
7. a) What is monetary policy? What are the monetary policy measures? (7 marks)
 b) How is national income estimated according to the income method? Estimate NDP and NNP from the given data (all figures in Rs. Crores). Wages and salaries = 800, Rent = 300, Depreciation = 200, Interest = 400, Net Indirect tax = 400, NFIA = 100, Profit = 400. (7 marks) (Dec 2022)
8. a) Distinguish between the money market and the capital market. (7 marks)
 b) Suppose the national income of a country is Rs 1000 and depreciation equals Rs 300. If NFIA equals Rs (-400) and Indirect Taxes equals Rs 300, estimate NNP, NDP, GDP and GNP (all figures in Rs. Crores). (7 marks) (Dec 2022)
9. a) Write notes on i) NIFTY and SENSEX ii) Demat and Trading account iii) Bank Rate iv) CRR and SLR (7 marks)
 b) Explain circular flow of income in a four sector economy. (7 marks) (Jan 2024)
10. a) Explain the monetary policy measures to control inflation. (7 marks)
 b) Discuss the sources of business financing. (7 marks) (Jan 2024)
11. a) Calculate the national income of a hypothetical country using both the expenditure and income methods. (All figures in Rs. Crores) Consumption expenditure: 500, Investment expenditure: 400, Government expenditure: 200, Net exports: 50, Wages and salaries: 600, Rent: 100, Interest: 150, Profits: 200, NFIA: (-50), Depreciation: 50, Net Indirect tax: 50 (7 marks)
 b) List out any four activities coming under Primary and Tertiary sectors (7 marks) (May 2024)
12. a) Diagrammatically explain demand pull inflation. What are the quantitative measures taken by a central bank to control inflation. (7 marks)
 b) Examine the circular flow of economic activities in a two sector model with saving and investment. (7 marks) (May 2024)

Module V: International Trade and Balance of Payments

Part A (3 Marks Each)

1. What is free trade? (Dec 2021)

2. What is Devaluation? (Dec 2021)
3. What is international trade? List out the advantages of foreign trade. (Dec 2023)
4. What is balance of payments? List out its components. (Dec 2023)
5. Point out any three items coming under unilateral transfers account. (Dec 2022)
6. What is balance of payments? (Dec 2022)
7. What do you mean by BOP? (Jun 2022)
8. What is free trade and what are its advantages? (Jun 2022)
9. Explain Heckscher-Ohlin theory. (Jun 2023)
10. Summarize on Balance of Invisibles. (Jun 2023)
11. Differentiate between devaluation and depreciation. (Jan 2024)
12. Examine the advantages of protectionism in international trade. (Jan 2024)
13. Point out any three advantages and disadvantages of foreign trade. (May 2024)
14. What is Marshall-Lerner condition? (May 2024)

Part B (14 Marks Each)

1. a) What is international trade? List out the advantages of Foreign trade? (7 marks)
 b) What are tariff barriers? Explain its impact on the economy. (7 marks) (Dec 2021)
2. a) What are the arguments in favour of free trade? (7 marks)
 b) Explain absolute advantage theory with the help of an example. (7 marks) (Dec 2021)
3. a) State and explain the Heckscher-Ohlin theory of international trade. (7 marks)
 b) What do you mean by devaluation? Explain the conditions for its success. (7 marks) (Jun 2022)
4. a) Explain any four measures to solve the problem of deficit in the balance of payments. (7 marks)
 b) List any six arguments in support of protectionism. (7 marks) (Jun 2022)
5. a) Compare the theory of absolute advantage and the theory of comparative advantage with examples. (7 marks)
 b) Examine any two effects of tariff in international trade. (7 marks) (Jun 2023)
6. a) Differentiate between free trade and protectionism. Also discuss on the current account component of balance of payment. (7 marks)
 b) What do you mean by devaluation? Explain the conditions for its success. (7 marks) (Jun 2023, Dec 2023)

7. a) Examine the comparative cost theory. Point out any two criticisms against this theory. (7 marks)
b) What is protection? State any five arguments in favour of protection. (7 marks) (Dec 2022)
8. a) What are the disadvantages of foreign trade? Examine the effects of quotas on international trade. (7 marks)
b) Evaluate the success or failure of devaluation when the demand for import is more elastic or less elastic. (7 marks) (Dec 2022)
9. a) Explain absolute advantage theory of international trade. (7 marks)
b) With the help of a diagram, examine the effects of tariff. (7 marks) (Jan 2024)
10. a) What is meant by BOP? What are the measures to correct disequilibrium in BOP? (7 marks)
b) Explain comparative cost advantage theory. (7 marks) (Jan 2024)
11. a) What is balance of payments? Briefly explain the components of balance of payments. (7 marks)
b) Point out any four arguments in favour of protection. (7 marks) (May 2024)
12. a) Examine comparative cost theory with the help of a numerical example. (7 marks)
b) What is free trade? Point out any three arguments in favour of free trade. (7 marks) (May 2024)